Exotica Resort & Spa in the Maldives, stepping into the premium luxury hotel market in the country.

In 2002, IHCL made a strategic purchase of the Regent Hotel in Bandra, Mumbai, that became the Taj Lands End. In the leisure space, it secured a licence to manage and operate two hotels, the Usha Kiran Palace in Gwalior and Rawal Kot in Jaisalmer (the latter was discontinued in 2016).

During the year, Ratan announced that 'Indian Hotels would focus on growing outside India but would also grow at home'. The twin emphasis had a subtle national goal embedded in it. He was convinced that India had not harnessed its tourist potential. He bemoaned that while Singapore was boasting of 7 million tourists and Hawaii 20 million annually, India was missing 'an enormous opportunity' in the hospitality and tourism businesses, and expressed the hope that the country would be successful in attracting 5–7 million tourists a year.

In 2003, IHCL got a new MD—the Hawaii-born American national, Raymond Bickson. He focussed on Ratan's declared priority to improve the quality of the brand and renovated and upgraded 'its leading leisure hotel properties' in Goa, Tamil Nadu, Rajasthan and Kerala, at an overall cost of Rs 100 crore. By 2003, IHCL comprised sixty-five hotels, with fifty-three in India and twelve across the globe.

Branding

One of the serious fallouts of Kerkar's acquisition spree was the erosion of the Taj's brand value. It suffered reputational damage as the two-, three- or four-star properties that were acquired were also brought under the Taj umbrella. In meetings with guests, travel agents and tour operators, it came to light that customers expected the Taj experience even when they stayed in the non-luxury hotels. Taj's image was 'hammered', said Ajoy Misra, who was senior vice president, sales and marketing, IHCL, from 2001 to 2011.

In view of this chasm between expectation and reality, Ratan pushed for making a clear distinction between the various categories of hotels. He introduced the concept of giving guests what they expected and according to their needs. It would become one of Ratan's enduring contributions to the sustained pre-eminence of IHCL in the hospitality business. Jamwal recalls